

The Big Secret of Intermarket Trading

Intermarket trading is one of the big secrets of professional traders. They use the lag between different markets to hunt 100% profitable trading opportunities. Using intermarket trading even a newbie trader can be profitable from the first day. Just follow and practice the below instructions to become an intermarket trading guru.

If you overlay different markets charts (1H timeframe) such as EUR/USD, USD/JPY, US Dollar Index, gold, crude oil, stocks indices etc. you can find positive or negative correlations on them. If two correlated price move 100% simultaneously, there is not any advantage for a trader because he/she cannot use any of them as a leading signal but fortunately, in many occasions you can find a lag (usually 1-6 hours) between some of different markets (one price such as USD/JPY acts as leading and the other such as S&P500 follows it).

Normally, group one assets including USD/JPY, S&P500, NASDAQ100, FTSE (UK100), DAX(GER30), crude oil and US Dollar Index move positively correlated and in the same direction. On the other side, EUR/USD and gold move positively correlated to each other but negatively to the group one. Most of the times, currencies (EUR/USD and USD/JPY) are leading but in less frequent occasions stocks, gold or crude oil may act as leading asset. With some practice you can distinguish the leading and lagging asset on the charts.

To trade using intermarket method you only need to overlay two 1H charts for example USD/JPY and NASDAQ100 (most of the charting tools such as <https://www.netdania.com/charts> have this capability) and wait until a lag (or discrepancy) occur. Obviously you open your trade on the lagging asset. On the following pictures, you can find some examples of intermarket trading opportunities on various pairs of different financial assets.

On below picture USD/JPY is a leading signal for trading NASDAQ100 stocks future. Lag time is about three hours and discrepancy of two assets is very big which provide a tremendous trading opportunity.



On the following picture USD/JPY acts as a leading signal for trading crude oil. Although the lag is short (around 1H) but it is enough for our trading purpose.



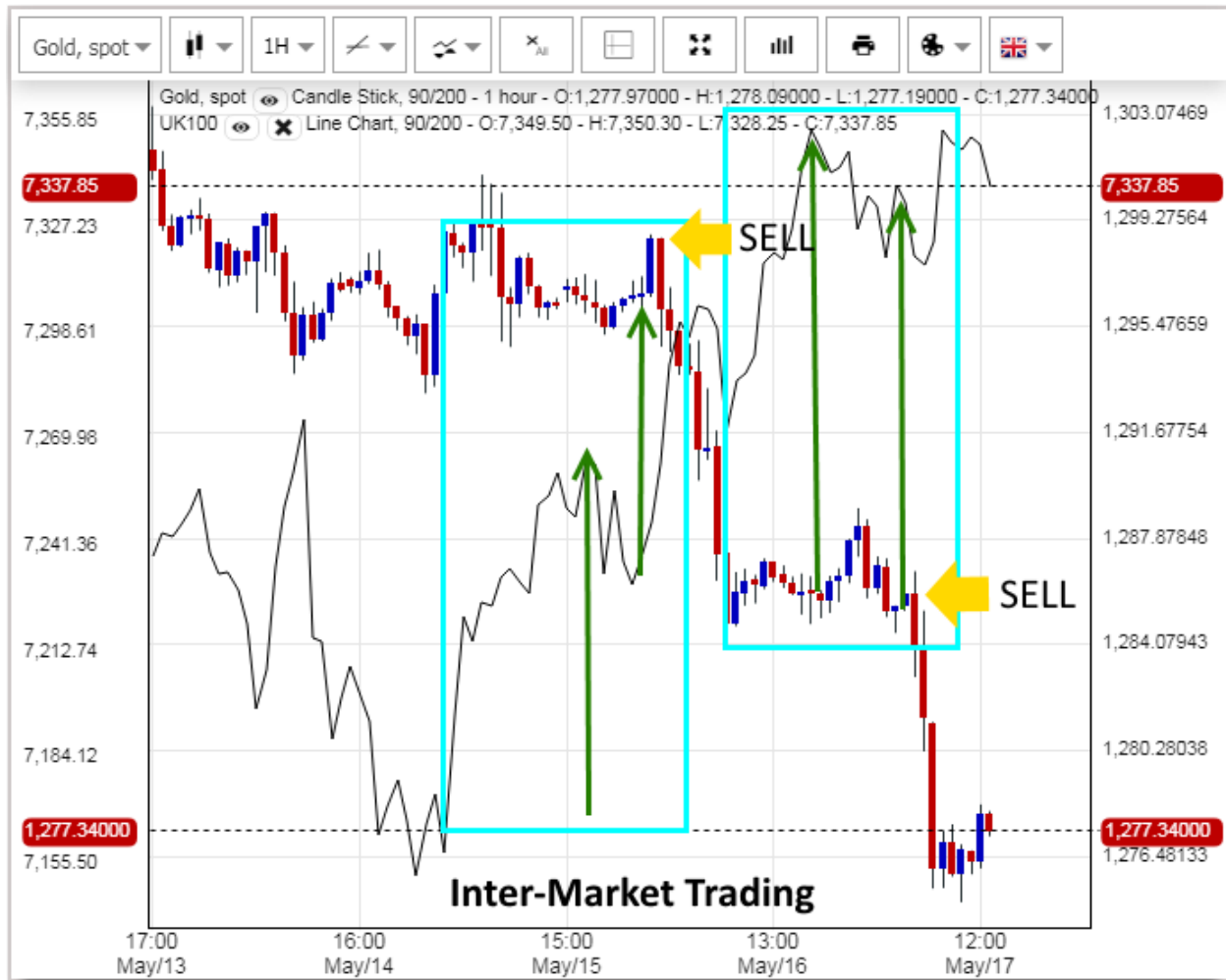
Another example is trading S&P500 using US Dollar Index leading signal. Lag is about 1 hour which is enough for a wise trading decision.



Next exciting example is using S&P500 as a leading signal to trade gold. As you see, the lag is about 1-2 hours and discrepancy is huge. Notice that S&P500 and gold are negatively correlated.



And the final example is gold versus FTSE (UK100) to trade gold. Lag is about 20 hours and discrepancy is huge. Notice that UK100 and gold have negative correlation.



These are just some examples to show you how can use intermarket discrepancies for better trading. However, similar to any other skill, proficiency in this method is a bit tricky and needs some practice but as this method provides you 100% winning trades, it is quite worthy to put time and learn it.

To learn the best methods of Forex and stock trading including top price action rules, 90% profitable chart patterns, automated and model predictive trading I highly recommend reading the following book:

<http://learn-forex.awardspace.us/book.html>